

Ben Spring, CEO of TryHackMe

Ben and his co-founder are two techies who started by bootstrapping with a paycheck. With zero marketing budget, they have scaled TryHackMe to a million users and significant revenue.

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Ben Spring: I was born and raised in Portsmouth. I also went to the University of Portsmouth. I have a degree in Computer Science.

Sramana Mitra: When did you come out of college?

Ben Spring: It was in 2018.

Sramana Mitra: It was right before the pandemic and the internet is in high gear.

Ben Spring: Yes, as was the lack of cyber security training, which is a perfect fit for TryHackMe at that time.

Sramana Mitra: What did you do when you came out of college? What was the next step?

Ben Spring: I was working for a government entity in the UK. Because TryHackMe, which is an online cybersecurity training platform, had started as a side project in 2019, it had grown so much by the time I finished university that I was only in the role for about a month before leaving to do TryHackMe full-time.

Sramana Mitra: You started TryHackMe while still a student?

Ben Spring: Yes, I co-founded it with someone I met at a summer internship.

Sramana Mitra: Go back to the year that you started TryHackMe. How did it all come together? Why did you start this cybersecurity training platform while you were still a student?

Ben Spring: A couple of years ago, I met my co-founder Ashu. We were at a summer internship doing cybersecurity consultancy work. We found it so difficult to break into the field. At the end of the internship, we threw all of our notes together and made a platform called TryHackMe. An incredible amount of people were experiencing the same problem.

Sramana Mitra: People were finding you through Google search?

Ben Spring: Yes, it's completely organic. I've never invested any money into marketing. It's been completely organic and word-of-mouth.

Sramana Mitra: Was this platform free?

Ben Spring: At first, we released everything for free. We had a weird pricing model back then where it was pay-as-you-go. It didn't scale and work well for what we wanted at that time. The first version was the MVP. It was the minimal thing you could think of. It was just a page and training material.

Sramana Mitra: How many users did you get to in that mode?

Ben Spring: Getting our first hundred users were pretty much like trying to shout TryHackMe everywhere online. We went to Reddit posts. We went to friends. That's how we acquired our first hundred users.

Sramana Mitra: From the first hundred, what was the next number?

Ben Spring: It scaled really quickly. It went to a hundred. A couple of months later, we had 500 when we ran our first event. Then it snowballed more and more. We went to 50,000, to 100,000. Today, we're over 1.1 million users. The growth has come primarily over the last 18 months.

Sramana Mitra: When you finished university, what point were you at?

Ben Spring: I can't remember now. It must have been 10,000 users.

Sramana Mitra: All free still?

Ben Spring: We introduced a pay-as-you-go model. You can pay per course. After talking to users, we found that it wasn't the best model for us, so we

moved over to a subscription model where you pay monthly and you get access to every single thing on TryHackMe.

Sramana Mitra: That transition to subscription happened while you were still a student?

Ben Spring: Yes, while I was still a student. It was a quick transition. Because Ashu and I built the product from scratch ourselves, we spent endless nights changing the old model to the new. It turned out to be one of the best decisions we've made.

Sramana Mitra: How many were paid subscribers out of the 10,000 users.

Ben Spring: I can't remember the number. I remember our conversion was quite low. What we had done was really look and understand how to increase that conversion. We ran a lot of A/B tests to see how to activate and retain the users as much as possible before working on how we convert them to paying users.

Sramana Mitra: Free to premium conversion is always very low numbers. If you're doing 4%, that's considered magnificent.

Ben Spring: Because it was fully bootstrapped, the way that we grew had to be really steady. When we didn't have much revenue coming in, we had to be scrappy with that startup mentality of every single penny counts.

Sramana Mitra: When you finish university, both you and your co-founder took on jobs. You didn't go into TryHackme full-time yet.

Ben Spring: Yes.

Sramana Mitra: What was the job that you took?

Ben Spring: It was some security work at a government entity in the UK. The co-founder did the same thing at a different company somewhere in London.

Sramana Mitra: How long did you continue with the security consulting work?

Ben Spring: About three to four weeks. I've been working towards this job for the entirety of my university journey. Three weeks later, I told my parents that I'm leaving and starting my own thing. They weren't too pleased to say the least.

Sramana Mitra: Ashu also quit his job?

Ben Spring: Yes, slightly further down the line, but he is also now full-time for the last year and a half.

Sramana Mitra: Ashu kept his job for a little longer.

Ben Spring: Yes, he did.

Sramana Mitra: His paycheck was still available for your guys to bootstrap with.

Ben Spring: Yes.

Sramana Mitra: Bootstrapping with a paycheck is one of the tracks in our methodology. People bootstrap companies with a paycheck all the time. It works. Having a job and building a startup on the side and getting it to a point where it starts to scale and you can quit your job, it's an acceptable way of building businesses.

In our world, it's a very acceptable way of building businesses. That's what you did. Ashu kept his job and you went in full-time, but Ashu still had a paycheck with which to cover if necessary.

Ben Spring: Yes. We had about three people at that time. We didn't have other financial commitments. It was a good opportunity for us to take that risk.

Sramana Mitra: As young people, you can take lots of risks because you don't have all these family responsibilities and mortgages.

Ben Spring: There were some scary times. We spent a significant amount of time on our infrastructure builds. We got hit by an enormous bill. At that time, we couldn't afford to pay it. There was an error in our codebase, which ramped up our server cost. We got through it and it made us learn a valuable lesson in terms of setting objects on our infrastructure.

Sramana Mitra: What was happening with the business? Were the conversation rates increasing? Was the number of users increasing and how?

Ben Spring: It was completely organic. We were incredibly lucky. It was just word-of-mouth. We really tried to make a great user experience and understand the user's problem. At the time, I was constantly iterating on the product and speaking to users. The conversion was still fairly low. I was going into my old job and I just couldn't stop thinking about TryHackMe. I'd go out on my lunch and I'd be writing emails and doing stuff on the side. I took the jump to leave.

Sramana Mitra: In terms of the course content, were you delivering all of those courses?

Ben Spring: We were lucky to have a huge community behind us. As TryHackMe grew, people were uploading their own material independently. We also had one person making content full-time. Then Ashu and I were also making content.

Sramana Mitra: There was community-generated content as well.

Ben Spring: Yes, it was difficult to vet. We ran into problems in ensuring they were QA'd.

Sramana Mitra: How much were people paying?

Ben Spring: It's \$10 a month if you're not a student and \$8 if you're a student.

Sramana Mitra: What was the next inflection point in the business where things change somewhat?

Ben Spring: It's difficult to identify the inflection point, because we were snowballing and getting more and more users. We decided to grow different parts of the business. We hired based on what would deliver the most value. We figured we needed more content, so we hired content engineers to make this great training content. In terms of return on investment, that was relatively quick. More people would see new content and they would continue to subscribe. Lifetime value and conversion would increase.

Sramana Mitra: This is 2019?

Ben Spring: It must have been towards the end of 2019.

Sramana Mitra: How much did you do revenue-wise?

Ben Spring: I can't remember. It was probably below \$150,000. In 2020 to 2021, we hit our first million. The next year, we grew 2x. Then this year, we're growing 3x.

Sramana Mitra: You added more content. Organic was just going. What else did you do to improve the metrics?

Ben Spring: We ran a couple of events. They were community events. Every single day, someone could come on the platform and solve a Christmas challenge. On the first one, we had 30,000 users. More people came on to the platform and did these challenges despite TryHackMe taking a significant loss in running this event. Post-event, we saw a large number of them convert.

Sramana Mitra: 2020 was when subscribers kept coming and that's what got you to a million in revenue.

Ben Spring: Yes.

Sramana Mitra: What happens in 2021?

Ben Spring: More of running experiments and making sure that we can increase our retention, conversation, and activation. We brought more people into the business. In the last 17 months, we were just a handful of people. We are now at 35.

By the end of the year, we'll be around 60. We've scaled especially over the last couple of years. In terms of what we've done, it was just expanding our content portfolio and ensuring that user onboarding and activation are aligned to the people that are signing up. For the complete beginner, the onboarding is very different from someone who's really experienced.

Something that has helped us scale this year is we opened up B2B. Because a huge portion of users is championing TryHackMe, they're now going to their businesses and saying, "TryHackMe has got this enterprise package. We

should get our whole team signed up.” We’ve got this management dashboard and an enterprise plan which is helping us get additional revenue by catering to businesses and schools.

Sramana Mitra: This started in 2021?

Ben Spring: 2021.

Sramana Mitra: How many enterprise customers do you have right now?

Ben Spring: Well over a hundred. We’ve been super fortunate to onboard Fortune 500 companies, lots of governments, lots of schools, and colleges. We’ve done some really rewarding work with the education of Scotland to provide training to 14 and 15-year-olds to break into the industry. We’ve been able to expand the number of people using TryHackMe whether you’re a 14-year-old, someone who wants to transition jobs, or someone who’s working in a business.

Sramana Mitra: What is an average deal size of an enterprise deal?

Ben Spring: We’re still experimenting with pricing. About two or three months ago, the cost per user per month was \$25. We increased it to \$40. The deal size ranges from £4,000 all the way up. We believe in this land and expand the approach. A Fortune 500 company will buy a handful of subscriptions to try out. They’ll see value in it and they’ll expand across their teams. It might start off small, but the opportunity to grow that out is often quite big.

Sramana Mitra: If you look at the geographical footprint of your one million users, is it largely UK or global?

Ben Spring: Primarily US, India, UK, and then lots of places in Europe.

Sramana Mitra: Are these all people working in the security departments of large companies? Are there also people who work for startups?

Ben Spring: It’s so vast. We have so many people from so many backgrounds and skillsets such as career changers and people who are interested in cyber security. To create a user experience for so many people is a challenge.

Sramana Mitra: Right now, your offering is still training? It's a subscription to a pool of content that keeps people learning.

Ben Spring: Yes.

Sramana Mitra: What percentage of the team are content producers?

Ben Spring: The majority of them. We'll be 65 at the end of the year. We've doubled down on ensuring that we're building high-quality content. As we mature, we start to build out other teams and departments in TryHackMe. It's been an exciting journey.

Sramana Mitra: It's an edtech business largely?

Ben Spring: Yes.

Sramana Mitra: In this process of creating content, are you creating content for each of these different personas?

Ben Spring: At the beginning, we did. What content can we make that is applicable to the most number of users on TryHackMe. That was beginner-level content. Once we covered lots of different bases, we then said, "What is the next set of content we can release that is going to be applicable to as many users as possible?"

Our content strategy has changed a bit now. We've got so many people on the platform and we're working with large enterprises. We can get lots of information from the people who are on the platform to understand their training needs and create content based on that.

Sramana Mitra: How big is the market for this?

Ben Spring: It's one I struggle to answer. The TAM is so big because cyber security impacts so many people in different ways whether that's security awareness training all the way to the technical piece. If you're a penetration tester, how do you know about this latest exploitation? If you're an IT administrator, how do you know what to look for in order to pass on the right team? There are so many areas of tech and individuals where cybersecurity is relevant.

Sramana Mitra: Can you talk to me about the competition? There is a whole bunch of players in the EdTech space who also cater to the same customers that you are interested in. Pluralsight is a very good example. Who else do you consider as a competitor?

Ben Spring: There are a couple of labs in the industry. They all have their own USP. Where TryHackMe is really strong is delivering training content to an individual. We heavily embed gamification into the product to make it engaging and fun. A lot of our competitors are catering to the enterprise space.

Despite TryHackMe having a B2B offering, we still want to make sure that our B2C offering is really strong. That is our top of the funnel — people who come on the platform as individuals who really love the products and then recommend that to their businesses or schools.

Sramana Mitra: That gamification is the reason why it doesn't make sense for you to also use companies like Pluralsight and Udemy as your channels. You want your gamified experience.

Ben Spring: Absolutely. It's not just the gamification piece. The thing that TryHackMe does differently is creating safe and legal environments to practice hacking. On TryHackMe, you can spin up a machine in a safe environment. It's not just theoretical knowledge. You're applying that into practice.

Sramana Mitra: Very interesting. In 2022, you're on track for \$8 million in revenue?

Ben Spring: Yes.

Sramana Mitra: Are you still completely self-funded?

Ben Spring: Yes. We've been fighting off investors. We want to remain completely bootstrapped.

Sramana Mitra: Fantastic. Why have you come to that conclusion?

Ben Spring: We want to build a product that users love, and we don't want to be influenced by some investor telling us to get the most return on investment

to make the most money. We want complete autonomy. We believe in delivering a really strong user experience and focusing a lot of energy on that. If we shift to B2B completely, it could be more lucrative. However, we are really trying to deliver a great user experience to individuals and not just companies. We've been very fortunate that we have the flexibility to do that.

Sramana Mitra: When I started One Million by One Million, I was offered funding. I remember one of the VCs said, "You should do a lead generation business model. This education stuff is great, but it's not going to scale. I can fund you." I said I don't want to do lead generation.

I want the autonomy to stick to my mission and vision of what I want to do with my company. It's a very legitimate point of staying true and preserving the integrity of your mission and vision. If that means turning down venture capital, so be it.

Ben Spring: It has its challenges. I've never really worked at a company before, so there's a lot of learning on the job. I'm so glad that I did it. I've learned so much.

Sramana Mitra: I was a computer science grad student at MIT in 1994 when I started my first company. I didn't know anything about how to start a company. This was before the internet happened. We didn't have a way to go to Google and look things up. Google was founded in 1999. Right now, it's a lot easier to learn what you need to learn. At that time, it was much harder.

It was very nice to meet you. Thank you for your time.